

the same sorts of opportunities I do, except that when he finds them, he buys the whole company.

These notable exceptions are entirely outnumbered by the run-of-the-mill fund managers, dull fund managers, comatose fund managers, sycophantic fund managers, timid fund managers, plus other assorted camp followers, fuddy-duddies, and copycats hemmed in by the rules.

You have to understand the minds of the people in our business. We all read the same newspapers and magazines and listen to the same economists. We're a very homogeneous lot, quite frankly. There aren't many among us who walked in off the beach. If there are any high school dropouts running an equity mutual fund, I'd be surprised. I doubt there are any ex-surfers or former truck drivers, either.

You won't find many well-scrubbed adolescents in our ranks. My wife once did some research into the popular theory that great inventions and great ideas come to people before they reach thirty. On the other hand, since I'm now forty-five and still running Fidelity Magellan, I'm eager to report that great investing has nothing to do with youth—and that the middle-aged investor who has lived through several kinds of markets may have an advantage over the youngster who hasn't.

Nevertheless, with the vast majority of the fund managers being middle-aged, it cuts out all the potential genius on the earlier and the later ends of the geriatric spectrum.

STREET LAG

With every spectacular stock I've managed to ferret out, the virtues seemed so obvious that if 100 professionals had been free to add it to their portfolios, I'm convinced that 99 would have done so. But for reasons I'm about to describe, they couldn't. There are simply too many obstacles between them and the tenbaggers.

Under the current system, a stock isn't truly attractive until a number of large institutions have recognized its suitability and an equal number of respected Wall Street analysts (the researchers who track the various industries and companies) have put it on the recommended list. With so many people waiting for others to make the first move, it's amazing that anything gets bought.

The Limited is a good example of what I call Street lag. When the company went public in 1969, it was all but unknown to the large institutions and the big-time analysts. The underwriter of the offering was a small firm called Vercoe & Co., located in Columbus, Ohio, where the headquarters of The Limited can also be found. Peter Halliday, a high school classmate of Limited chairman Leslie